

PRICE-ACTION TRADING | STRATEGY PLAYBOOK

RF Strategy

Reverse Failure – Rules & Setup

A visual guide to the first 5-minute range, the activation sequence, the trend filter and the pre-trade checklist.

UPTREND ONLY | GAP-UP IN RANGE | FIRST 5-MIN RANGE | SL 35-40 PTS

OVERVIEW

1 Strategy at a Glance

The RF (Reverse Failure) Strategy is a price-action setup that is the opposite of the IRF strategy. It is traded strictly in a confirmed uptrend, and it uses the high and low of the first 5-minute candle as its reference range.

In plain words: the market opens with a gap up, dips below the bottom of the opening 5-minute candle, closes below it, and then comes back inside that range. That specific sequence is what switches the RF setup on. The gap itself must also stay within yesterday's trading range; a huge gap is rejected.

TREND	OPENING	REFERENCE	STOP-LOSS
Uptrend	**Gap Up**	**5-Min Range**	**35-40 pts**
Must be an already-established uptrend	Within yesterday's range only; gap down rejects	High and low of the first candle, wicks included	Chosen by what is logical for the setup

Key terms

TERM	MEANING
RF zone	The horizontal band between the top of the first 5-minute candle's upper wick and the bottom of its lower wick.
Gap up	The market opens above where it previously closed, leaving an empty space on the chart.
Close below	A proper candle close under the RF Low. A wick poking below is not enough; the candle must finish there.
Return inside	After that close below, price moves back into the original RF zone. This completes the activation.
Yesterday's range	The high-to-low range of the previous trading day. A gap up must stay within it to be accepted.
200 EMA	A basic trend filter. Useful, but never the only proof of an uptrend.

> **NOT A GENERAL BREAKOUT STRATEGY**
> RF only works through one specific combination: established uptrend + gap-up open **within yesterday's range** + a close below the first candle's low + a return inside that range. Miss any piece and there is no RF trade.

STEP ZERO: BUILD THE MAP

2 Identifying the First 5-Minute Range

Everything in RF is measured against one candle: the first 5-minute candle after the market opens. You mark its extremes with two horizontal lines. The area between them is the RF zone.

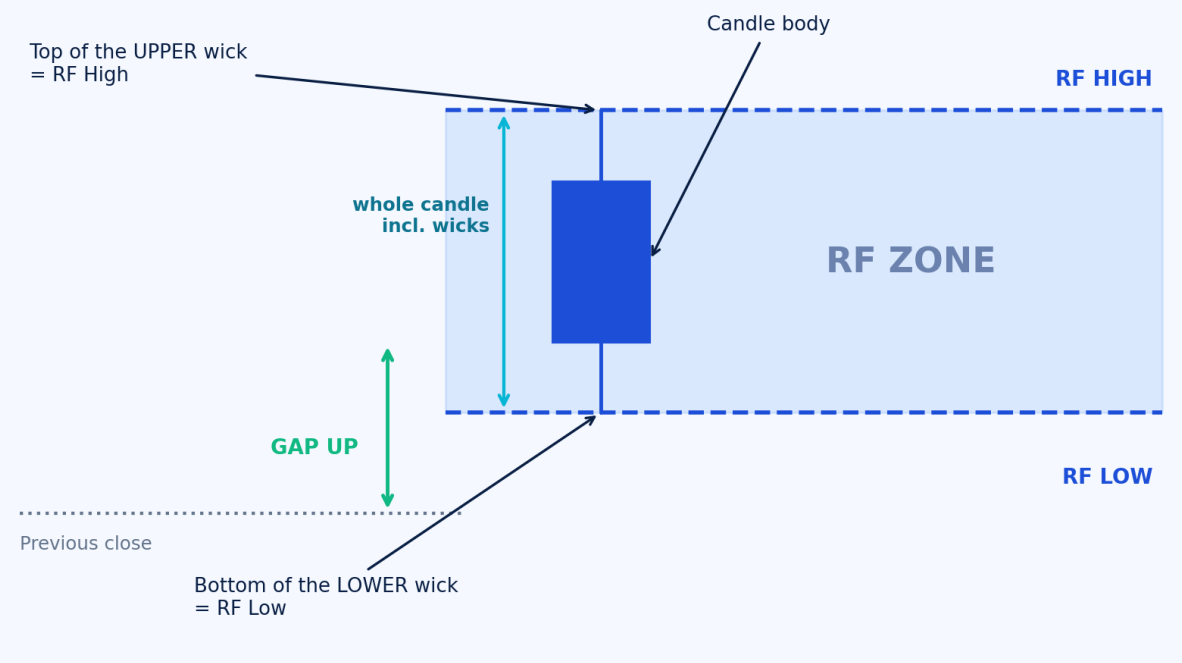


Figure 1 — The RF zone is built from the whole first candle, wicks included.

1 **Find the first 5-minute candle**
Locate the first 5-minute candle printed after the market opens.

2 **Mark the highest point of the upper wick**
Draw a horizontal line at that level. This is the **RF High**.

3 **Mark the lowest point of the lower wick**
Draw a horizontal line at that level. This is the **RF Low**, the line price must later close below.

IMPORTANT

Consider the **entire candle, including both wicks**. Using only the candle body gives a smaller, incorrect zone.

THE FOUR-STEP SEQUENCE

3 RF Activation Conditions

The RF setup activates only when this exact price sequence happens, in order. The chart shows a textbook example (illustrative candles, not real data).

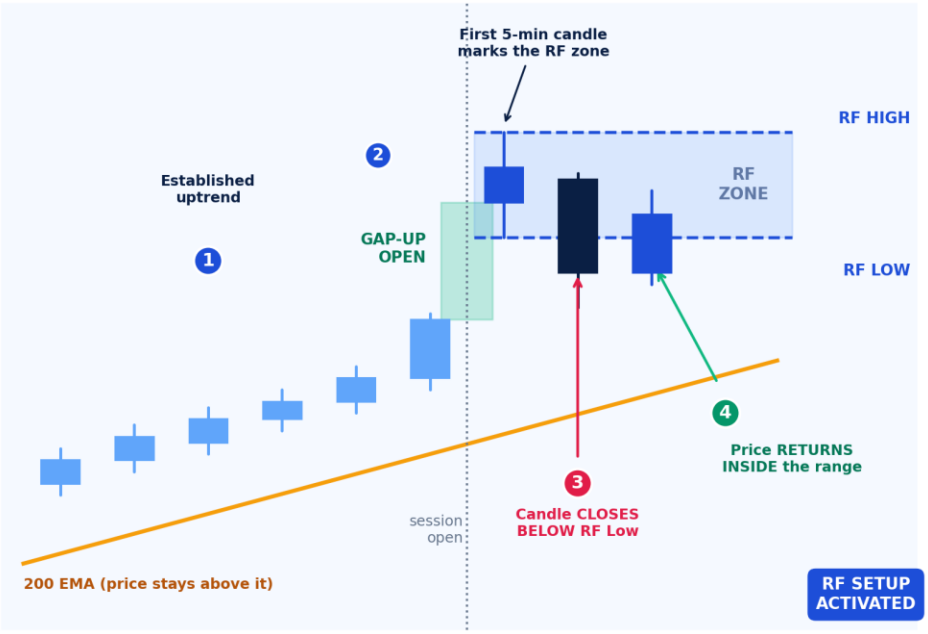


Figure 2 — Uptrend, gap-up open, close below the RF Low, return inside the range.

1

Confirm the uptrend

The market must already be in a proper uptrend. Trading above the 200 EMA is a basic filter for this.

2

Confirm a gap-up opening

The market must open with a gap up, and the gap must stay **within yesterday's trading range**. A gap-down open, or a gap beyond yesterday's range, invalidates the setup.

3

Price breaks below the lower boundary

After the first 5-minute range is marked, price must move below the lower wick and produce a **proper candle close below the range**.

4

Price returns inside the range

Following that confirmed close below, price must come back **inside the original 5-minute range**. This completes the RF activation sequence.

WHY "ABOVE THE EMA" IS NOT ENOUGH

4 Trend Filter: the 200 EMA

RF must be used only in a well-established uptrend, not merely because the current price sits above the 200 EMA. The 200 EMA is a basic filter. It must not be treated as the sole confirmation of an uptrend.

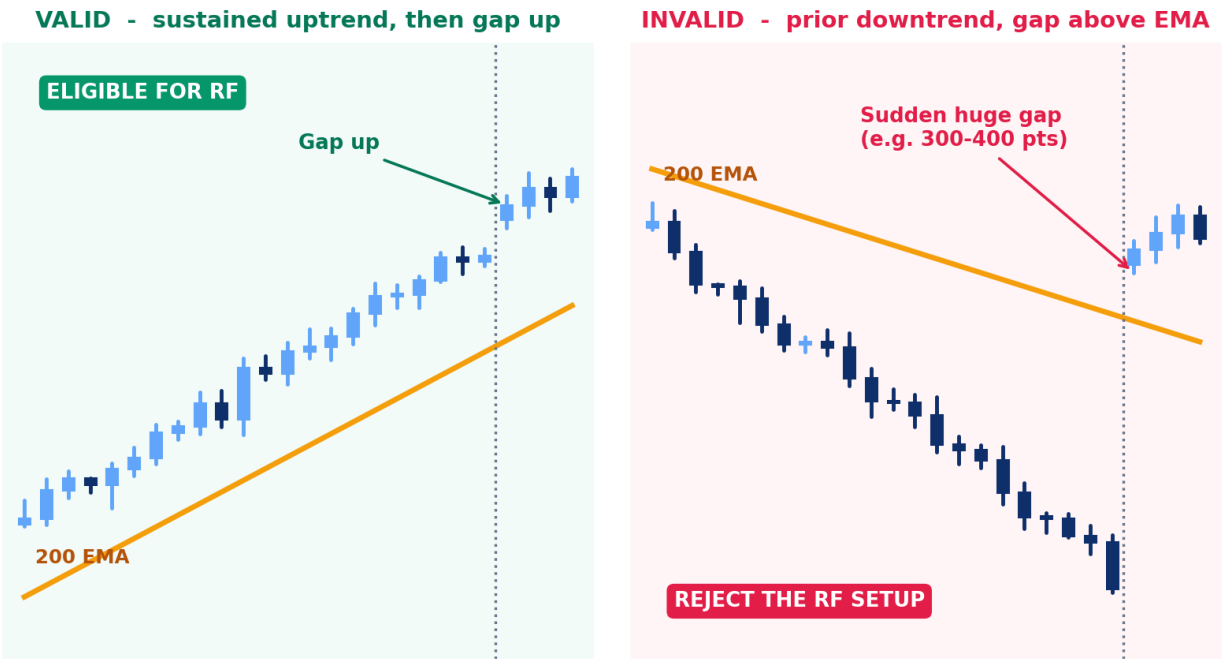


Figure 3 – Same indicator, very different context. Only the left chart qualifies.

VALID	INVALID
The market is **already** trading in a sustained uptrend, price is above the 200 EMA, and it then opens with a gap up. **Result:** eligible for further RF confirmation.	The market was previously in a **downtrend below the 200 EMA** and suddenly gaps up by a very large amount (such as 300-400 points), landing above the 200 EMA. **Reason for rejection:** a sudden gap above the 200 EMA does not by itself establish an uptrend. The bullish trend must already be demonstrated.

DECISION TABLE

5 Gap-Up and Gap-Down Rules

The opening gap acts as a gatekeeper. Before looking at any 5-minute candle, check which row of the table below your market falls into.

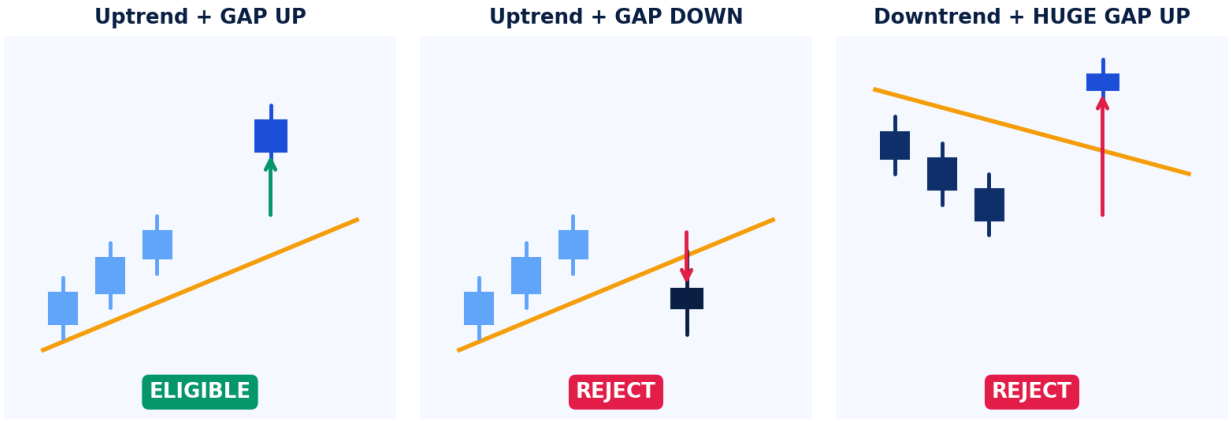


Figure 4 — The three most important gap scenarios at a glance.

MARKET CONDITION	RF DECISION
Established uptrend + gap up	**Eligible for further RF setup confirmation**
Established uptrend + gap down	**Reject the RF setup**
Previous downtrend + sudden large gap up above the 200 EMA	**Reject the RF setup**
Gap up that exceeds yesterday's trading range (huge gap)	**Reject: setup not activated**
Gap up without the required break and return into the 5-minute range	**No RF activation**
Valid gap up (within yesterday's range) + confirmed close below the lower range + return inside the range	**RF activation conditions satisfied**

QUICK RULE

A gap down automatically invalidates RF. No gap up, no RF, regardless of what the 5-minute candle later does.

IMPORTANT FILTER: THE GAP-SIZE GATEKEEPER

6 Yesterday's Range Filter

A huge gap is rejected. Only a gap up that stays within yesterday's trading range is accepted. If the gap carries the open beyond yesterday's trading range (above yesterday's high), the RF setup is not activated.

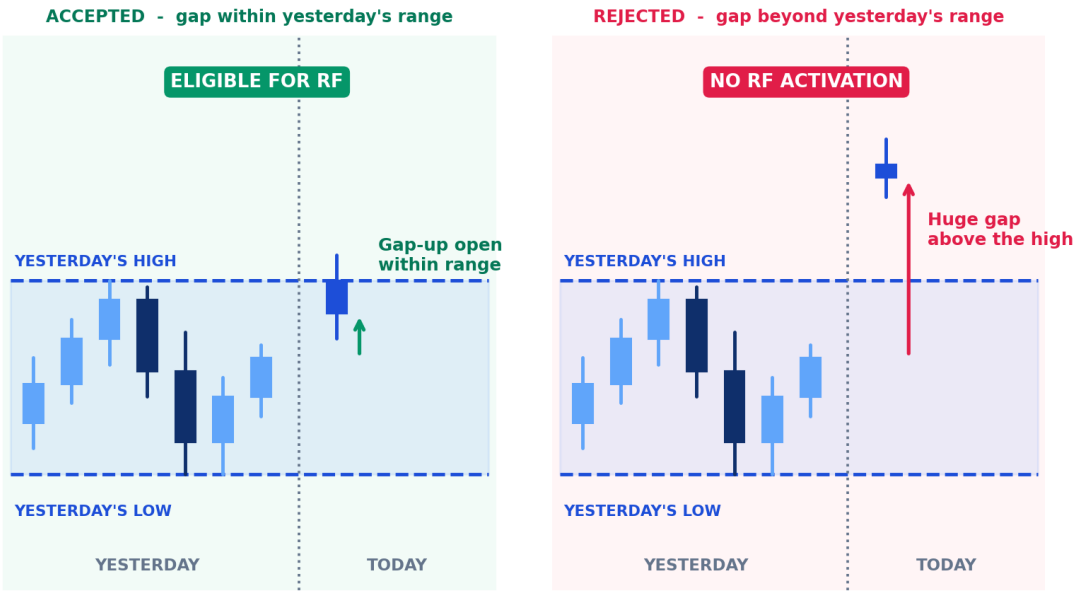


Figure 5 — Same gap-up idea, two outcomes: inside yesterday's range is accepted, beyond it is rejected.

ACCEPTED	REJECTED
Yesterday's high and low are marked. Today's **gap-up open sits inside** that range. **Result:** continue with the remaining RF checks.	Today's gap-up open **exceeds yesterday's trading range**, landing beyond yesterday's high. **Result:** the setup is **not activated**, even if everything else looks right.

How to check it

- Mark **yesterday's high and low** as two horizontal lines on the chart.
- Look at where today's **gap-up opens** relative to those two lines.
- Inside the range: carry on with the RF checks. Beyond the range: **no RF activation**.

IMPORTANT FILTER

This works alongside the trend filter. An established uptrend and a gap up are still not enough: the **size of the gap must stay within yesterday's trading range**.

RISK DEFINITION

7 Stop-Loss Rule

35-40 **points of stop-loss**

Pick 35 or 40 depending on what is logical for the particular setup.

- The stop-loss must be selected **based on the trade structure and price movement**.
- The choice between 35 and 40 points should be consistent with the trading rules being followed.
- Once the trade is entered, the stop-loss **must be respected**.

Rule readiness

Some parts of the strategy are fully specified; others are still open. Treat the open items as blanks to fill in before trading it.

RULE	STATUS	NOTES
Uptrend + 200 EMA filter	DEFINED	Must be an established uptrend, not just above the EMA
Gap-up requirement	DEFINED	Gap down or sudden reversal gap rejects the setup
Gap within yesterday's range	DEFINED	Huge gap beyond yesterday's range: no activation
First 5-minute range	DEFINED	Whole candle including both wicks
Activation sequence	DEFINED	Close below the Low, then return inside the range
Stop-loss size	PARTIAL	35-40 points; fixed vs. candle-extreme not stated
Exact entry price	OPEN	Not yet specified
Target	OPEN	Not yet specified

CORE PRINCIPLE

RF is **not** a general breakout strategy. Its validity depends on the combination of an established uptrend, a gap-up opening within yesterday's trading range, a confirmed close below the first 5-minute candle's lower wick, and a subsequent return inside that range.

A gap down, a gap beyond yesterday's range, a sudden gap-up reversal from a downtrend, or the absence of the required price sequence invalidates the setup.

8 Ref. images


Target: 60.80 (0.26%) 1,216, Amount: 1373.92
Closed P&L: −40.65, Qty: 6
Risk/Reward Ratio: 1.5
Stop: 40.65 (0.18%) 813, Amount: 750

